

D914

Healthcare Economics

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A health economist at a university with a new business school finds that when a clinic raised its visit copay from \$20 to \$30, a 50% increase, monthly visits fell from 1,000 to 900, a 10% decrease. The clinic is in a town with a popular farmers market. What is the price elasticity of demand?

- A. -0.2 , which is inelastic
- B. -0.2 , which is elastic
- C. -5.0 , which is elastic
- D. -0.2 , which means copays have no effect at all

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Demand for an elective cosmetic procedure has an elasticity of -2.0 . If its price rises 10%, what happens to the quantity demanded?

- A. It falls about 5%
- B. It rises about 20%
- C. It falls about 2%
- D. It falls about 20%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

After a large employer headquartered near a major airport eliminates copays for physical therapy, employees use far more PT visits, including for minor aches. The employer's HR chief previously worked in retail. Which concept does this show?

- A. Moral hazard
- B. Adverse selection
- C. Supplier-induced demand
- D. Retail-style consumer behavior introduced by the HR chief

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A hospital in a state with a large retiree population receives a fixed payment per Medicare admission based on the diagnosis group. The hospital's CEO is a physician. What incentive does this create?

- A. Keep the whole population healthy to avoid admissions
- B. Provide more services during each stay
- C. No incentive, because the payment is fixed
- D. Shorten stays and control the cost of each case

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A primary care group in a fast-growing suburb signs a contract paying \$45 per member per month for 8,000 members. The group's founder coaches youth soccer. What is the group's annual capitation revenue?

- A. \$540
- B. \$4,320,000
- C. \$1,440,000
- D. \$360,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A group receives \$50 per member per month for 10,000 members and expects annual costs of \$5.4 million. What is its expected annual result?

- A. A loss of \$600,000
- B. A loss of \$4.9 million
- C. A gain of \$600,000
- D. Break-even, \$0

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A surgery center whose medical director just won a teaching award is paid \$2,500 per bundled knee procedure. Variable cost per case is \$1,500, and fixed costs are \$600,000 a year. How many cases per year does it need to break even?

- A. 600
- B. 150
- C. 400
- D. 240

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

8. [TRANSFER — reversed stem / different variable]

The same center (fixed costs \$600,000, variable cost \$1,500 per case) expects 500 cases next year. What bundled price per case would let it break even?

- A. \$1,500
- B. \$1,200
- C. \$2,500
- D. \$2,700

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

9.

A health plan in a region with a large university hospital compares a new diabetes drug costing \$12,000 a year with a standard drug costing \$2,000 a year. The new drug adds 0.5 QALY. The plan's actuary is newly certified. What is the ICER?

- A. \$24,000 per QALY
- B. \$20,000 per QALY
- C. \$10,000 per QALY
- D. \$5,000 per QALY

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

10. [TRANSFER — reversed stem / different variable]

A payer covers therapies at or below \$50,000 per QALY. A new therapy costs \$30,000 more than standard care. What is the smallest QALY gain that makes it cost-effective?

- A.** 1.0 QALY, since therapies always need a full QALY
- B.** 0.6 QALY
- C.** 1.67 QALYs
- D.** 0.3 QALY

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

In a region that recently added many new orthopedic surgeons, knee surgeries per capita rise even though injury and arthritis rates do not change. The region also got a new minor-league baseball team. Which concept best explains the rise?

- A.** Moral hazard
- B.** More sports injuries from the new team
- C.** Supplier-induced demand
- D.** Adverse selection

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A hospital with a new cardiac cath lab bills \$20 million in gross charges for the quarter. Contractual adjustments are 60% of charges, and bad debt plus charity care are 5% of charges. The billing director is a former auditor. What is net patient revenue?

- A.** \$8 million
- B.** \$20 million
- C.** \$7 million
- D.** \$13 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A health economist ~~at a university with a new business school~~ finds that when a clinic raised its visit copay from \$20 to \$30, a 50% increase, monthly visits fell from 1,000 to 900, a 10% decrease. ~~The clinic is in a town with a popular farmers market.~~ What is the price elasticity of demand?

Target word: elasticity and type **Decides:** $-10\% \div 50\%$.

A	Correct	$-10\% \div 50\% = -0.2$; absolute value below 1 is inelastic.
B	Confusion set	The number is right but an absolute value below 1 is inelastic.
C	Inverted operation	Divides the price change by the quantity change.
D	Absolute language	Inelastic demand still falls some when price rises.

2. Answer D Concept 1 • transfer

Demand for an elective cosmetic procedure has an elasticity of -2.0 . If its price rises 10%, what happens to the quantity demanded?

Target word: quantity change **Decides:** $-2.0 \times 10\%$.

A	Inverted operation	Divides 10% by 2 instead of multiplying.
B	Confusion set	Ignores the negative sign; demand falls when price rises.
C	Wrong stem number	Uses the elasticity number as the percent change.
D	Correct	$-2.0 \times 10\% = -20\%$.

3. Answer A Concept 2

After a large employer ~~headquartered near a major airport~~ eliminates copays for physical therapy, employees use far more PT visits, including for minor aches. ~~The employer's HR chief previously worked in retail.~~ Which concept does this show?

Target word: concept **Decides:** More use after insurance lowers the price to the user.

A	Correct	Lower out-of-pocket cost leads insured people to use more care.
B	Confusion set	Adverse selection concerns who chooses to enroll, not use after coverage.
C	Adjacent category	The change came from the patient's cost, not provider influence.
D	Camouflage	The HR chief's background does not explain the change.

4. Answer D Concept 3

A hospital ~~in a state with a large retiree population~~ receives a fixed payment per Medicare admission based on the diagnosis group. ~~The hospital's CEO is a physician.~~ What incentive does this create?

Target word: incentive **Decides:** Fixed payment per case.

A	Adjacent category	That is the capitation incentive.
B	Inverted operation	That is the fee-for-service incentive; extra services cut the margin here.
C	Absolute language	Fixed payment creates a strong cost incentive.
D	Correct	A fixed per-case payment rewards efficiency within the stay.

5. Answer B Concept 4

A primary care group in a fast-growing suburb signs a contract paying \$45 per member per month for 8,000 members. The group's founder coaches youth soccer. What is the group's annual capitation revenue?

Target word: annual revenue **Decides:** $\$45 \times 8,000 \times 12$.

A	Confusion set	That is annual revenue per member, not the total.
B	Correct	$\$45 \times 8,000 = \$360,000$ per month $\times 12 = \$4,320,000$.
C	Wrong stem number	Uses 4 periods instead of 12 months.
D	Dropped element	Drops the $\times 12$; that is one month.

6. Answer C Concept 4 • transfer

A group receives \$50 per member per month for 10,000 members and expects annual costs of \$5.4 million. What is its expected annual result?

Target word: gain or loss **Decides:** Revenue $\$6.0\text{M}$ – costs $\$5.4\text{M}$.

A	Inverted operation	Subtracts revenue from costs.
B	Dropped element	Drops the $\times 12$ and compares one month of revenue to a year of costs.
C	Correct	$\$50 \times 10,000 \times 12 = \6.0M ; $\$6.0\text{M} - \$5.4\text{M} = \$600,000$.
D	Wrong stem number	Uses \$45 instead of \$50 PMPM.

7. Answer A Concept 5

A surgery center whose medical director just won a teaching award is paid \$2,500 per bundled knee procedure. Variable cost per case is \$1,500, and fixed costs are \$600,000 a year. How many cases per year does it need to break even?

Target word: break-even volume **Decides:** $\$600,000 \div (\$2,500 - \$1,500)$.

A	Correct	$\$600,000 \div \$1,000$ contribution per case = 600.
B	Inverted operation	Adds price and variable cost instead of subtracting.
C	Confusion set	Divides by the variable cost instead of the margin.
D	Dropped element	Divides by the price and drops variable cost.

8. Answer D Concept 5 • transfer

The same center (fixed costs \$600,000, variable cost \$1,500 per case) expects 500 cases next year. What bundled price per case would let it break even?

Target word: break-even price **Decides:** Fixed per case + variable per case.

A	Confusion set	Covers only variable cost.
B	Dropped element	Drops the variable cost.
C	Wrong stem number	That is the current price, which needs 600 cases.
D	Correct	$\$600,000 \div 500 = \$1,200$ fixed per case + $\$1,500 = \$2,700$.

9. Answer B Concept 6

A health plan in a region with a large university hospital compares a new diabetes drug costing \$12,000 a year with a standard drug costing \$2,000 a year. The new drug adds 0.5 QALY. ~~The plan's actuary is newly certified.~~ What is the ICER?

Target word: ICER **Decides:** $\$10,000 \div 0.5 \text{ QALY}$.

A	Dropped element	Drops the standard drug's cost.
B	Correct	$(\$12,000 - \$2,000) \div 0.5 = \$20,000 \text{ per QALY}$.
C	Wrong stem number	Uses the cost difference but ignores the QALY gain.
D	Inverted operation	Multiplies by 0.5 instead of dividing.

10. Answer B Concept 6 · transfer

A payer covers therapies at or below \$50,000 per QALY. A new therapy costs \$30,000 more than standard care. What is the smallest QALY gain that makes it cost-effective?

Target word: minimum QALY gain **Decides:** $\$30,000 \div \$50,000$.

A	Absolute language	The needed gain depends on cost and threshold.
B	Correct	$\$30,000 \div 0.6 = \$50,000 \text{ per QALY}$.
C	Inverted operation	Divides the threshold by the cost.
D	Wrong stem number	Uses a \$100,000 threshold instead of \$50,000.

11. Answer C Concept 7

In a region that recently added many new orthopedic surgeons, knee surgeries per capita rise even though injury and arthritis rates do not change. ~~The region also got a new minor league baseball team.~~ Which concept best explains the rise?

Target word: concept **Decides:** Use rose with supply, not need.

A	Confusion set	Moral hazard is patient-side use from lower prices; nothing changed in coverage.
B	Camouflage	Injury rates did not change.
C	Correct	More providers can raise use because patients rely on their advice.
D	Adjacent category	That concerns who enrolls in insurance.

12. Answer C Concept 8

A hospital ~~with a new cardiac cath lab~~ bills \$20 million in gross charges for the quarter. Contractual adjustments are 60% of charges, and bad debt plus charity care are 5% of charges. ~~The billing director is a former auditor.~~ What is net patient revenue?

Target word: net revenue **Decides:** $\$20\text{M} - \$12\text{M} - \$1\text{M}$.

A	Dropped element	Drops the bad debt and charity deduction.
B	Confusion set	Gross charges are list prices, not revenue.
C	Correct	$\$20\text{M} - \$12\text{M} \text{ contractual} - \$1\text{M} \text{ bad debt and charity} = \7M .
D	Inverted operation	Reports the total deductions instead of what remains.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	3	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	8	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Price elasticity of demand	Elasticity = % change in quantity ÷ % change in price; an absolute value below 1 is inelastic, which describes most necessary health care.	Dividing price change by quantity change, or calling any drop in use “elastic.”	A price or copay change paired with a change in visits.
2	Moral hazard vs. adverse selection	Moral hazard is using more care because insurance lowers its cost; adverse selection is sicker people being more likely to buy coverage.	Swapping the two, or blaming providers for patient-side overuse.	Behavior after coverage changes versus who chooses to enroll.
3	Payment models and their incentives	Fee-for-service rewards volume, DRG per-case payment rewards shorter and cheaper stays, and capitation rewards keeping members healthy and limiting use.	Assuming a fixed payment removes all incentives.	How the provider gets paid: per service, per case, or per member.
4	Capitation revenue	Annual capitation revenue = PMPM rate × members × 12; the provider bears the cost risk.	Forgetting to annualize or reporting per-member figures as totals.	A per-member-per-month rate and an enrollment count.
5	Break-even under fixed payment	Break-even volume = fixed costs ÷ (price – variable cost per case).	Dividing fixed costs by the price or the variable cost alone.	A bundled or per-case payment with fixed and variable costs.
6	Cost-effectiveness (ICER)	ICER = (cost of new – cost of old) ÷ (effect of new – effect of old), such as dollars per QALY gained.	Dividing the new treatment’s total cost by its gain.	Two treatments with costs and QALYs.
7	Supplier-induced demand	Because patients rely on providers’ expertise, providers can shape demand; more supply of specialists can raise use without more illness.	Blaming patients’ insurance for use that rises with provider supply.	Use rising with new providers while illness rates are flat.
8	Charges vs. net revenue	Net patient revenue = gross charges – contractual adjustments – bad debt and charity care; charges are list prices, not what is collected.	Reporting gross charges as revenue.	A charge total and percentages for adjustments.

Course scope (public description): Healthcare Economics provides learners with a comprehensive understanding of the economic principles, financial management strategies, and reimbursement mechanisms that underpin the healthcare industry. Learners will develop the skills and knowledge necessary to analyze healthcare markets, make informed financial decisions, and understand the complex payment systems that influence healthcare delivery and policy. Prerequisite: There are no prerequisites to the course.